

Hello,

I was recently reading through the Canada Revenue Agency's website regarding how they strictly define a "tax shelter", and I have a specific question about the life insurance financing arrangement we are using.

<https://www.canada.ca/en/revenue-agency/services/tax/businesses/topics/tax-shelters/what-a-tax-shelter.html>

Based on my reading of the CRA's mathematical test, my understanding is that the legally recognized "net cost" of my investment must be reduced by the policy loan—regardless of the loan's intended business purpose.

If my "net cost" is mathematically reduced to \$0 by the loan, it appears that claiming any deductions (such as interest or NCPI) within the first four years would automatically meet the CRA's mechanical definition of a tax shelter.

If you are certain that I am not offside here, could you please review these specific mechanics and provide me with written confirmation that this plan does not legally qualify as a tax shelter? Alternatively, if it meets the definition, please provide the required Tax Shelter Identification Number so I can ensure my filings are fully compliant.

Let me know your thoughts.